

8-1 Classification of Receivables

The receivables that result from sales on account are normally accounts receivable or notes receivable. The term

Objective 1 - Describe the common classes of receivables.

receivables (All money claims against other entities, including people, business firms, and other organizations.)

includes all money claims against other entities, including people, companies, and other organizations. Receivables are usually a significant portion of a company's total current assets.